

HERMES TRADER

Autonomous AI Trading Agent

Alpaca AI Trading Agents Hackathon · August 2026

Autonomous

Pipeline Operation

67K+

News Signals

216+

Learned Rules

16 Tools

Pipeline MCP

The Challenge

Financial markets generate thousands of signals every minute. No human can read it all, stay objective, and enforce discipline simultaneously.



Information Overload

11+ financial news sources, earnings reports, macro data — updated every minute



Emotional Bias

Fear and greed override analysis. Humans revenge-trade, hold losers, sell winners early



No Learning Loop

Manual traders repeat mistakes. No systematic post-mortem.
No rule accumulation

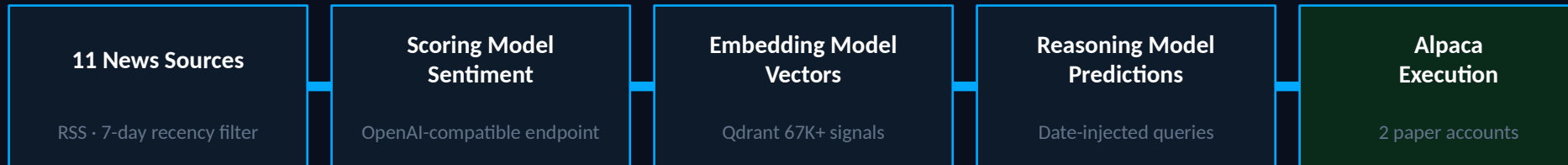


Availability Gap

Markets move continuously. Human attention is finite.
Opportunities missed or caught too late

Solution: Hermes Trader

Autonomous pipeline + natural language interface — no human intervention required



SIX PROTECTION LAYERS



Self-Learning System

The system improves after every trade and every analysis session

Trade Executes

Enters position via Alpaca paper account

Outcome Recorded

Win/loss + signal ledger entry logged

Post-Mortem Analysis

Reasoning model identifies what was missed

Calibration Updated

Sector + direction win rates adjust for next cycle

Rule Written

New inference rule added to the knowledge base

Accumulated Knowledge

- 216+ inference rules
- 67,000+ vector signals
- Repeating failure circuit breaker
- Direction + sector calibration
- Signal ledger for outcome tracking

Hermes: Natural Language Interface

The pipeline runs autonomously — Hermes is your window into it

trading-desk

User: Buy 100 shares of NVDA

Hermes: Validating trade...

✓ Market Hours: Open

✗ Position Size: \$22,000 exceeds 10% limit

✗ Meta-corrected confidence: 59.5% < 70%

✓ Weekly Limit: 2/5 used

✓ VIX Gate: Normal conditions

REJECTED — 2 gates failed. No order placed.

16 Pipeline MCP Tools

-  Portfolio & account analysis
-  Gate-by-gate trade validation
-  Execute approved trades
-  Weekly + monthly reports
-  Morning briefing (auto-daily)
-  Signal ledger — rejected trades
-  Idle cash opportunity cost
-  Compare trading accounts
-  Refuses unsafe orders

Live Results — Autonomous Operation

Primary Account

Autonomous pipeline trading

\$100,122

+\$122 (+0.12%)

Open Positions

AMZN 23sh +0.8%

CRM 23sh +2.3%

SPCX 42sh +1.7%

Demo Account

Started fresh for this demo

\$99,736

-\$264 (-0.26%)

Open Positions

AMZN 23sh -0.3%

CRM 23sh -0.9%

SPCX 42sh +0.3%

Technology Stack

Inference

- Any OpenAI-compatible reasoning model (70B+ recommended)
- Any OpenAI-compatible scoring model
- Any OpenAI-compatible embedding model
- Self-hosted or cloud provider

Infrastructure

- GPU server with sufficient VRAM
- Dedicated Hermes agent host (VM or bare metal)
- Network-attached storage for signals and logs
- Single machine deployment also supported

Data & Storage

- Qdrant vector database (67K+ signals, date-indexed)
- SQLite portfolio + signal ledger databases
- Local or NAS storage for reports and logs
- 11 RSS news source feeds

Integration

- Alpaca Markets API (paper or live trading)
- Alpaca MCP Server (72 tools)
- Trading Pipeline MCP Server (16 tools, FastMCP)
- Hermes Agent + preferred messaging platform

HERMES TRADER

Autonomous · Self-Learning · Transparent by Design

Autonomous

Pipeline Operation

500+

Predictions Run

216+

Rules Learned

16 Tools

MCP Pipeline

github.com/lunarnodal/hermes-trader

Built during the Alpaca AI Trading Agents Hackathon · August 2026